

The Social Radars

Founder Mode: Jake Heller, Founder & CEO, Casetext **Released August 29, 2025**

Jessica: Carolynn, today, I'm so excited because we are here in person with Jake Heller, the founder and CEO of Casetext at the Y Combinator Founder Mode Retreat. Hi, Jake.
[\(00:00:00\)](#) Welcome, Jake.

Jake: Hey there. Yeah. Nice to see you. Nice to see you too.
[\(00:00:12\)](#)

Jessica: So Casetext got bought a couple years ago by Thomson Reuters.
[\(00:00:14\)](#)

Jake: That's right.
[\(00:00:19\)](#)

Jessica: Yeah. You guys I met you when you went through the summer thirteen, program
[\(00:00:19\)](#)

Jake: That's right.
[\(00:00:26\)](#)

Jessica: At Y Combinator.
[\(00:00:26\)](#)

Jake: Twelve years ago.
[\(00:00:27\)](#)

Jessica: Twelve years ago. Twelve years ago. Man, it's been a long time.
[\(00:00:28\)](#)

Jake: Yes. Yes.
[\(00:00:31\)](#)

Jessica: So tell us about Casetext and what the company was and a little bit about that before we get into Founder Mode things.
[\(00:00:32\)](#)

Jake: So before starting Casetext, I was a lawyer. K. And I felt when I was practicing that the technology I was using would often not even, not help. It would get in the way. And I thought, you know, we gotta be able to apply modern technology to do things like search for information, sift through documents, etcetera, to make legal work easier, faster, more efficient.
[\(00:00:40\)](#)

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I felt the time, for example, that if I wanted to find a great restaurant that was open or movie times

Carolynn: Mhmm.
[\(00:01:11\)](#)

Jake: I'd find it instantly. Yeah. But if I wanted to find precedent and case law that could make an innocent person, you know, not go to jail or, you know, protect my client, I might be up till 5AM, ten days in a row to find that one precedent. And so
[\(00:01:11\)](#)

Jessica: And Carolynn's nodding in agreement. Yeah.
[\(00:01:27\)](#)

Jake: Yes. Yeah. You've been there, done that.
[\(00:01:29\)](#)

Carolynn: Yes.
[\(00:01:30\)](#)

Jake: Yeah. So we founded the company with the idea that we can use technology to make legal work effective and efficient. And the mission became if you know, almost like being an MRI machine before law. Like, technology that enables lawyers to do more and do better for their clients. And the hope for outcome would be justice for those clients, better justice for those clients, and better representation.
[\(00:01:31\)](#)

Jessica: Okay. And when how far along were you when you went through YC?
[\(00:01:53\)](#)

Jake: We were very early. I think I just coded a, like, almost demo website.
[\(00:01:57\)](#)

Jessica: Could you program?
[\(00:02:01\)](#)

Carolynn: I was just gonna say, how'd learn to code?
[\(00:02:02\)](#)

Jake: So I grew up in Silicon Valley. Mhmm. My You did? Yeah.
[\(00:02:04\)](#)

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Jessica: Where?
[\(00:02:06\)](#)

Jake: Sunnyvale. Yeah.
[\(00:02:07\)](#)

Carolynn: Oh my god. Sunnyvale. The Cradle.
[\(00:02:08\)](#)

Jake: Yes. The Cradle. Exactly. Of course.
[\(00:02:10\)](#)

Jessica: Yeah. Homestead High.
[\(00:02:12\)](#)

Jake: That's right. We're talking about it.
[\(00:02:13\)](#)

Carolynn: Yeah. Were talking
[\(00:02:14\)](#)

Jessica: About this last night.
[\(00:02:14\)](#)

Jake: Okay. And my dad actually started Internet business in our garage in the early nineties.
[\(00:02:15\)](#) Like, the first ever company in Delaware registered the name Internet in You know?

Carolynn: Oh my god. Are you serious?
[\(00:02:24\)](#)

Jake: What? That's, like, '43. And, and he's he's a high school dropout, by the way. He's not
[\(00:02:25\)](#) like that that company is not Google. High school dropout?

Oh, yeah. Wow. High school dropout. But he figured out really early that this technology is going somewhere exciting. And to be clear, this the company, it paid for my way through college and my sister through college.

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I it was it was immensely it took our family to a new kind of, like, you know, from the saw lower middle class to the upper middle class as life changing, but it wasn't, Google. You know what I mean? Like, we're like, but it was it's so it was so impactful for my life. And I think a lot of kids with their dads, maybe they, like, play catch or fix cars or what have you. I coded websites with my dad.

Right? So that was, like, our thing. Right? I every summer, I was working at Internet business systems, and so that's how I learned how to code. And even though I fell in love with law and policy, went to law school, became a lawyer, I couldn't stop myself.

I was always coding.

Jessica: That's great. I did not know that about you.
[\(00:03:19\)](#)

Carolynn: Just starting a business in a garage. Everything about your story is very iconic.
[\(00:03:21\)](#)

Jake: Yeah. It's very California. Right? It's like Yes. Yes.
[\(00:03:24\)](#)

Silicon Valley. Yeah.

Jessica: Especially Homestead Highs where Jobs and Wise started
[\(00:03:28\)](#)

Jake: Mhmm.
[\(00:03:32\)](#)

Jessica: Apple.
[\(00:03:32\)](#)

Jake: Yeah. That's right.
[\(00:03:33\)](#)

Carolynn: That was also in a garage. No? I mean, yes.
[\(00:03:34\)](#)

Jake: Yes. Yes. Yes.
[\(00:03:36\)](#)

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Jessica: Wow. Yes. Okay. So you said this is a real broken problem here in law.
[\(00:03:37\)](#)

Jake: I was feeling it every day as a lawyer. Yes.
[\(00:03:44\)](#)

Jessica: Yeah. And so did you decide I'm gonna leave my cushy law firm? Were you at
[\(00:03:46\)](#)

Carolynn: A big law?
[\(00:03:52\)](#)

Jake: I was at big a big law firm at the time. Yeah. Ropes and Gray.
[\(00:03:52\)](#)

Jessica: Oh, yeah. Of course. And so did you did you did you program something up and see if it
[\(00:03:55\)](#) could work?

Jake: So I made an initial mistake actually, which is I started coding stuff for myself at the law
[\(00:04:02\)](#) firm. And then I told them about it. And they said

Carolynn: Already know where this is going.
[\(00:04:10\)](#)

Jake: We own it. Yeah. Of course, said that. Yeah. And so I halted immediately.
[\(00:04:12\)](#)

Jessica: You're a lawyer.
[\(00:04:15\)](#)

Jake: You should have known that. Yeah. I make no mistake. Lawyer, but I'm kinda naive. You
[\(00:04:16\)](#) know?

I thought they'd be excited and interested. They asked me, well, Jacob, you're doing all this programming. You're clearly not billing enough hours.

Carolynn: Well, yeah. First of you're not meeting your billable.
[\(00:04:27\)](#)

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Jake:
[\(00:04:29\)](#) But the thing is I was way over my billable. I'm just a workaholic, I guess. But, yeah, like, you know but it was, it that was the moment I knew I had to leave because I couldn't pursue that passion of building stuff and also do my law firm job. So either or. And so I left, and it's funny at the time, I left and I told myself, oh, either I'll start a company that'll be super successful in a few years, or it will totally burn out and I'll go back to being a lawyer.

And that was what thought the two options were. And, course, what really happened is I fought to build my company piece by piece over ten years in, like, four pivots to finally successful exit, but it was not a quick in and out adventure.

Jessica:
[\(00:05:07\)](#) And I think you'll have to come on the Social Radars for a full episode of your story, but there is one aspect of it that I wanna ask you about in our time today

Jake:
[\(00:05:17\)](#) Mhmm.

Jessica:
[\(00:05:17\)](#) Which is I think you were one of the first companies to, like, leverage ChatGPT for.

Jake:
[\(00:05:23\)](#) Yeah.

Jessica:
[\(00:05:23\)](#) Is that right? Can you tellCarolynn and

Jake:
[\(00:05:25\)](#) I more about definitely, I'd say, our Founder Mode moment as

Jessica:
[\(00:05:28\)](#) Well. Okay.

Carolynn:
[\(00:05:28\)](#) Oh, perfect. This is

Jessica:
[\(00:05:29\)](#) A perfect segue.

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Jake:
[\(00:05:30\)](#) Yeah. So, you know, we initially thought we should apply modern technology to help solve legal problems. And we had, honestly, a bunch of different iterations of that, different approaches to that. But the one that that really started working for us way early, like 2016, 2017, was wasn't even called artificial intelligence at the time. It's called natural language processing and machine learning.

And we found all kinds of exciting ways that we can make searching for information better and all kinds of ways you can summarize information better even before the modern wave of artificial intelligence. And in part because we were so invested as, like, we're the legal guys doing AI stuff. And it's a pretty small community at the time of people doing anything AI stuff. Yeah. And, you know, so I think we got on the radar of OpenAI, and, you know, they're on our radar.

We shared notes, and we eventually became part of, an early tester program.

Jessica:
[\(00:06:25\)](#) Because you had a lot of data.

Jake:
[\(00:06:27\)](#) Yeah. We had data. Yeah. And we had people I think I think importantly to OpenAI, was at the time, you know, as a research lab first and foremost. And what they wanted is they wanted feedback.

Like, we're making stuff that's useful for medicine, for law, for finance. And I think they came to us as, like, the law guys.

Jessica:
[\(00:06:43\)](#) K.

Jake:
[\(00:06:44\)](#) And we also you know, we are bet the whole company that AI is gonna transform law. And so we were very excited about the stuff that they were doing. And yeah.

Carolynn:
[\(00:06:53\)](#) Well, was gonna say, Sam, you were 2013. Was Sam at YC at

Jake:
[\(00:06:57\)](#) That point?

Carolynn:
[\(00:06:57\)](#) Yeah. So you guys knew each other from that era. So he would have had you in his brain.

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Jake: Yeah. Although, we barely overlapped. Oh, yeah. But yeah. At the time.
[\(00:07:01\)](#)

So but, yeah, he was there. This is right before, I think, he became president of YC. He is definitely involved, definitely a partner, and, you know, gave us some pretty direct feedback during the YC process. Like, that's not fast enough. That's he's You know?

Jessica: Yeah.
[\(00:07:19\)](#)

Jake: You know, fast forward to like 2020, 2021, we're seeing early versions of GPT three before it comes out and GPT 3.5. And each time, we were like, this is interesting and shows promise, but it is not useful for legal work. It would do things just it'd make, know, at the time, plausible sounding sentences that sounded legalese, but they were nonsense.
[\(00:07:23\)](#)

Carolynn: But they weren't yes.
[\(00:07:46\)](#)

Jake: And so we were actually pretty harsh with our feedback back to OpenAI about the usefulness of their products at the time, and it almost had written off that path. At the time, we were developing our own models in that same genre, but we're trying to do it just based on legal information, And we thought that had potentially a better approach. It didn't turns out, you know. But in mid ish twenty two, I don't remember exactly when they approached us and said, finally, we have something we think will actually work for you. And they didn't call this at the time, but that was the one of the first versions of GPT-four.
[\(00:07:47\)](#)

And to put this in historical context, this is three, four months before chat GPT came out and seven or eight months, maybe nine months before GPT-four came out.

Carolynn: And
[\(00:08:30\)](#)

Jake: We're seeing this thing. And one of the earliest indications for us is we ran their earlier models against the bar examination as just a test to see how it do. Yeah. Earlier model scores in the tenth percentile of test takers. So better than some lawyers, but you know, they're the ones that show up drunk basically.
[\(00:08:31\)](#)

And then later on, we get access to this new model, ninetieth percentile of test takers. Better than nine And this

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Carolynn: Is a span of, like, four or five months.
[\(00:08:56\)](#)

Jake: Yes. Yes.
[\(00:08:59\)](#)

Carolynn: That's really
[\(00:08:59\)](#)

Jake: And it's this unreleased model that that we're under a super NDA. Yeah. And, you know, I'm walking around chatting with this thing, and I'm like this is gonna be before we even chat GPT. And I'm like, oh my god. I'm talking to a the god.

Yeah. This is this informational god, and I can't tell anybody about it.

Jessica: Oh my gosh.
[\(00:09:20\)](#)

Jake: Where Founder Mode comes in is so they show us this model, and I think that they show us a demo of it on a Friday. And they could give just my just my cofounder and I, with three cofounders at the time, gave us just two cofounders access, and we're the ones that are doing it. Can't tell the third cofounder. Okay.

Carolynn: Wow. Crazy.
[\(00:09:37\)](#)

Jake: And, because they wanna be so tight lipped about it, and I respect that. And we spent the entire weekend sleeplessly just testing out this model. Right? Just the two of us. We had all these problems.

Our customers come in saying, oh, you're doing with this AI stuff. It's kind of interesting, but if you do this, can you do this? And we're like, no. That's a whole company to do, you know, document review as well as legal research as contract drafting as well. That's what our customers want.

We everything. And we can only give them a sliver of that because that's all we can do with a 100 people at the company. But over the course of a weekend, we were like, oh, wait. This model could do all of it. Not perfectly, but you know what?

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Humans aren't perfect. Right? It's it's doing all this stuff so incredibly well and so incredibly quickly. We came up over the course of weekend with, like, a dozen different use cases for it. And by Monday, I knew that I had to take all 100 people at the company who are focused on other stuff, and we had to pivot the business, to focus on this instead, to change everything we were doing for the last nine and a half years Oh, be on this.

Yeah.

Carolynn: That's a pretty serious Founder Mode. Moment. Is serious.
[\(00:10:39\)](#)

Jake: It was I mean, it's funny because to me, it was obvious. Yeah. And, you know, when I tell the story to other people, like, I thought honestly, there are few other companies that access this technology at the same time as we did. I was like, obviously, everybody else would be doing this. And as soon as g b d four API comes out, you know, everybody in the world will be doing this.

I was wrong. Most companies are like, oh, this is kind of neat add on to our current existing tech stack, and we'll, you know, have a tiger team attack this or whatever. To me, the most obvious thing to do was to drop everything we're doing before this moment and focus on this instead because this is the future. And that was the bet we made.

Carolynn: This is founder mode as grinder mode. Yes.
[\(00:11:17\)](#)

Jessica: Yes. That's what it is. This is wow. So did you and your cofounder, the only two that were in the loop, did you both have this epiphany together?

Jake: Oh, yeah. One We were we were on Slack, you know, and also in person just, like, talking ferociously about this. And we're like, you know, at 2AM, 4AM. It's like, I tried this thing, and it totally worked. We gotta we just gotta do this.

And I don't remember exactly the day we did, but it's something, like, crazy. Like, maybe that next week or the week after, there was an executive off-site where we're talking, you quarter three, how did our sales go, you know, like, all the normal stuff.

Carolynn: Yeah.
[\(00:11:53\)](#)

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Jake:
[\(00:11:53\)](#) And by that point, I think it was clear that we you know, Pablo and I, the two that early access, we're just, like, sleepless. And, like, people talk about stuff. We're like, hey. It doesn't really matter. Trust us.

You're like, we can't tell you why, but it doesn't really matter.

Carolynn:
[\(00:12:06\)](#) Oh, those you would be cloak and dagger. Yeah.

Jake:
[\(00:12:08\)](#) Little bit for a tiny bit. Yeah. And then we show up at this executive off-site, and I had personally built a number of different demo products that we should be building, and said, oh, okay, folks. I know we have this whole agenda for this off-site. I need to push this to the side.

This is what we're gonna be focusing on. And Did you hear

Carolynn:
[\(00:12:28\)](#) People stirring? Yeah. And then did you show them demos? And they were like, oh my god.

Jake:
[\(00:12:33\)](#) You know, it's really interesting because the room at first is divided. Oh. The first half of the room, front part of the room was like, oh, yeah. Obviously, this is fucking cool. Yeah.

Sorry for swearing.

Carolynn:
[\(00:12:43\)](#) That's okay. Okay. We swear on this podcast.

Jessica:
[\(00:12:45\)](#) Occasional f bomb on this show. Okay. We're okay with that.

Jake:
[\(00:12:48\)](#) Okay. Good. Because that's how I am anyways. So they were like, this is it. And I think for some of the people in the room, they're like, I cannot believe we're looking at this amazing alien technology.

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And for the other half of the people in the room, they were like, oh my, Jake, we just pivoted, like, two years ago, and we just did this other new thing. And now it's a whole new like, you know, and they had to take some time to get wrapped their head. These are smart, hardworking, good people, but they had to take their time to wrap their heads around, you know, this whole new thing that I'm showing them. And it took a little bit of time to kinda warm them up. My was like, my goal for this executive off-site for this week is going to be because they allowed us the at OpenAI, extend the NDA through our executive team at this point.

Okay. Just but not the rest of the company at the time. I was like, we need to get all the same page this week because next Monday, at the all hands, we're gonna announce this as what we're doing with the company. And Oh, boy. And we all got there.

And Oh. It again, it's one of those things, in law. It's been a long time. It may mess this up. You may be able to correct me.

I think rest ipsa loquitur. The thing speaks for itself. And that's how I felt about this technology. But, you know, it is not, it is so evident and so obvious that this stuff is so powerful that I didn't even have to do that much selling at the end of the day. They just had to, you know, work with it a little bit and see exactly how powerful this would be for our users.

Yeah. And what was really interesting is that when we announced it on Monday, same kind of reaction split. Some people are very excited. Some people you know? And to maybe go a level deeper into the people who were, you know, a little skeptical.

After running a business for a decade, and there are many businesses that that take off immediately, and that's amazing to watch like Facebook and Stripe. There's some businesses that that a few years in and they're already, you know, on the cover of Forbes and making you know, raising. We were never that. We had always struggled and we'd always like, okay, we'll try this thing. It didn't quite work, but it worked a little bit.

You know, over the course of ten years, we had grown well, and we had survived, and we had fought to be at that moment. But we were, we're, by no stretch of the imagination at that point, you know, a super takeoff.

Jessica:

[\(00:14:53\)](#)

Not a rocket ship.

Jake:

[\(00:14:54\)](#)

Yeah. Not a rocket ship yet. And, you know, you only have so much credibility as a CEO, I think. Yeah. That's great.

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Because you said that's gonna work, and then it only worked a little bit. You say, well

Carolynn: Selling it every time
[\(00:15:06\)](#)

Jessica: Really hard.
[\(00:15:07\)](#)

Jake: Exactly. Yeah. And so I had to come to the company again. This is going to work. And some people have been with me for nine years.
[\(00:15:08\)](#)

I would say I'd say like, well, Jake, you know, I trusted you that time and that time and that time, and it kind of worked. But, you know, I felt like I had to go out of my way to really make sure that everybody was on board with this. And I took it upon myself to be like, this is, you know, defined. This is the vision. This is what we're building.

This is what's gonna look like. Here's how it's gonna work. And also, by the way, everybody's doing something right now. You just stop doing that and work on this right now. That, you know, I felt like in this especially a moment of extreme technological change, you can't expect every one of your employees to be visionary.

You can't expect every one of them to know exactly how all the pieces are gonna fit together. They are not thinking about the big picture like you are. They aren't having all the same conversations with customers like you are, and they need that direction, you know, in that moment. I think there are other times where they can you can trust them to take on more on their own. But in this moment, and to go back to kind of the Founder Mode conversation, I think part of it looks like is being moments where you need to be very, very clear about what needs to get done, what time it needs to get done on, what good looks like.

And, to be in some ways kind of micromanaging, I was coding stuff. I was I was a big contributor to the code base, and that that was something that was not true for many years before that. Yeah. I was we were inventing ways of prompt engineering before that was, you know, even talked about because the GPT-four API was not available. Right?

Oh my gosh. We were, you know, getting really, really, really deep into it. And personally, me, my co founders, very deep into it. And I think had we not done that, it would not have been as successful as it was.

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Carolynn: Were your investors similarly divided?
[\(00:16:51\)](#)

Jake: Yes. Yes. Our board you know, some of them got it immediately, for one of my investors to fly out to see them where they were and sit down with them and spend the day Yeah. Trying to convince them. Yes.

We're gonna hit our target of 20,000,000 ARR or whatever if we to go the old way, But this is the this is the opportunity that we've been waiting a decade for. That this is this is our thesis around AI applied to law. Here's how it's gonna change the world. And they were skeptical at first Yeah. But came around.

Yeah.

Carolynn: If we can talk about this really quick. You then, probably a couple years later, got up in front of the company and said, guess what? We're selling. And it was a big number, if I remember.

Jake: Yeah.
[\(00:17:34\)](#)

Carolynn: So, like, how did that feel with all of this history, ten years of, you know, pivoting and doing this stuff?

Jake: It wasn't a couple years later. It is a few months later.
[\(00:17:41\)](#)

Carolynn: Months later. Yeah. Wow. Yes. I guess I kinda screwed up the timeline there because Yeah.
[\(00:17:43\)](#)

Jake: Because we
[\(00:17:48\)](#)

Carolynn: It hasn't been around that long.
[\(00:17:49\)](#)

Jake: Yeah. Yes. That's right. That's right. We again, we've been fighting for ten years Yeah.
[\(00:17:50\)](#)

To be where we were. And, finally, we were taking off. We were doing the rocket ship thing.

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Jessica:
[\(00:18:00\)](#)

Yeah. Yeah.

Jake:
[\(00:18:00\)](#)

Right? And this is classic Like immediately. Yeah. Immediately. We had so many things in our favor, but one of the things in our favor was that because ChatGPT came out, in November 2022

Carolynn:
[\(00:18:13\)](#)

That's right.

Jake:
[\(00:18:14\)](#)

The whole world was talking about AI. Yeah. And we, from, you know, from before that working on GPT four, we're only allowed to launch our product after GPT four also went live in March 2023.

Jessica:
[\(00:18:24\)](#)

Okay.

Jake:
[\(00:18:25\)](#)

So the market was so hungry

Carolynn:
[\(00:18:27\)](#)

Yeah.

Jake:
[\(00:18:27\)](#)

So hungry to apply AI to finance and accounting and legal. Right? Legal is, like, maybe one of the top ones, still is the top ones, and we're okay. Large language models, like text is, like, the job. Mhmm.

And so the market was really, really excited about, like, the law firms and DOJ and the Innocence Project and public defenders and companies all wanted to talk to us about can they use this technology to make their lives better and to help their clients ultimately? We just came out like a just rocketed straight up. The amount of money we made for the first nine years, we basically doubled that in a few months. Right?

Carolynn:
[\(00:19:09\)](#)

My god. Crazy.

Jake:
[\(00:19:10\)](#)

It's like wow. And so we've we started to fundraise. And I'll tell you, every single fundraiser for nine years was one of those fundraises where you go out and you just anybody will talk to you. Mhmm. You know?

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You just take that meeting because, you know, you say to yourself as a founder, all it takes is one.

Carolynn:
[\(00:19:25\)](#)

Yep. Yep.

Jake:
[\(00:19:26\)](#)

So we talked to everybody. One of those people we talked to is Thomson Reuters Ventures. And, you know, I'll never forget. I almost didn't take the meeting because we already had some term sheets, and this is incredible. I was like, wow.

We have term sheets already.

Carolynn:
[\(00:19:37\)](#)

That's crazy. Coming to us.

Jake:
[\(00:19:38\)](#)

Yeah. Exactly. People are calling us. They're, like, bidding up each other. Like, this is this is new.

That's so pretty. Yeah. Exactly. This is very new.

Jessica:
[\(00:19:43\)](#)

What it feels like.

Jake:
[\(00:19:44\)](#)

Yeah. Exactly. Exactly. This is what's supposed to feel like. Oh, wow.

This is amazing. And so we almost didn't take the meeting. I went to the meeting, and they're quasi competitive in a sense. And I was like,

Carolynn:
[\(00:19:52\)](#)

Oh, gonna say Yeah. They definitely

Jake:
[\(00:19:53\)](#)

We were almost to take the meeting. And, like, in that thirty minute meeting, which I think is, like, late too. Like, the chief product officer shows up. The chief strategy officer, Like, okay. This is a different meeting than I thought it was.

And that that night, they called and they said, Jake, we know you have other term sheets. We know you told them you get back to them by tomorrow. We know what the valuation is. They did their research.

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Jessica:
[\(00:20:10\)](#)

Yeah.

Jake:
[\(00:20:11\)](#)

We're not gonna offer you an investment, but we would like to make an offer for you to buy the business. And just please give us until Monday to put together that offer, and we think you'll be pleased.

Jessica:
[\(00:20:21\)](#)

Okay.

Jake:
[\(00:20:22\)](#)

And like you said, ultimately, we sold for \$650,000,000.

Carolynn:
[\(00:20:25\)](#)

You go to the all hands. You tell everybody this is what we're doing, and everyone must have been like, Like, now I see the vision. Like, this is an amazing result.

Jake:
[\(00:20:33\)](#)

I mean and, you know, even that within the board and the company is controversial. Because

Jessica:
[\(00:20:38\)](#)

Some people want you to ride the wave longer.

Carolynn:
[\(00:20:40\)](#)

So yeah. That makes sense. Of course, they did. Yeah.

Jake:
[\(00:20:42\)](#)

And honestly, we probably could have sold for even more have we held on. At the time when we made the decision to sell, it was like, maybe we can triple this in a few months. Yeah. Maybe we're talking about five years from now how we wish we took that offer. Did you know?

Because maybe the GBD 5 would come out. We because we had no idea. At the '20 at the '23, maybe GBD 5 will come out in a month Yeah. And make everything obsolete. We had no idea.

Carolynn:
[\(00:21:06\)](#)

Do you ever think, like, maybe we'll be a public company, and I'm gonna be a public company CEO?

Jake:
[\(00:21:11\)](#)

Yeah. That that was, you know, a possibility for us. Yeah. For the first time, felt real Yeah. You know, after nine years of struggling to build a relatively small private company in, like, a 15 to \$20,000,000 kind of ARR range.

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Yeah. Like, all now it's it's it's like, wow. We this really could take off. And I and to be honest, I think there are other companies in this space who will probably become public companies. Yeah.

And That's right. The truth is I don't regret it for a second.

Jessica: Yeah. That's good.
[\(00:21:34\)](#)

Jake: I mean
[\(00:21:35\)](#)

Jessica: Money in the bank, baby.
[\(00:21:36\)](#)

Jake: It's not just that. Although, that's great. Yeah. I mean, a part of it was I looked at the list of my employees. And the hard part about this decision is you have to make it without consulting them.
[\(00:21:37\)](#)

You know, usually.

Jessica: Right.
[\(00:21:46\)](#)

Jake: That's right. And for us, you know, we didn't want to distract the rest of the company. We didn't we needed the to do process. I handle this conversation. Everybody else build, build, build because if we do not do this acquisition, then everybody else, you know, needs to, we need to prepare for our future.
[\(00:21:46\)](#)

We need keep on growing, we to be ahead of the competitors, etcetera. But I printed out a list of Excel spreadsheet of every employee, how much money they'd be making. And I saw people like, that that life changing amount of money for this engineer has been with us for four years. This is life changing amount of money for this person, you know, the office manager who was here for us for seven years. Like, they each can't say no to that in my age.

Yeah.

Carolynn: It has a huge impact.
[\(00:22:20\)](#)

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Jessica: For responsibility your employees. You've changed their lives.
[\(00:22:21\)](#)

Jake: Yeah. And I hope I made the right call. I mean, one thing that we also felt strongly about the time is there is no better place, we felt, to take what we were doing and make it really big Then Thomson Reuters, most people only know them for Reuters, which is the new service. Yeah. But they also have the biggest use legal products, Westlaw and practical law, but also in accounting and finance and risk, like, the board.

And one thing that is, like, mind blowing to me that product that we have is called co counsel. And if you go to, like, thompsonreuters.com, it's, like, mega company. It's, like, Thomson Reuters small print co counsel. Aw. You know?

It is feel good? Wild. Yeah. It is wild, and humbling to, you know, have that kind of impact now for tens of thousands of professionals, hundreds of thousands of professionals across

Carolynn: The world. Love that you just said, like, no regrets. I have no regrets about this. That's a that's a great feeling.
[\(00:23:11\)](#)

Jessica: Yeah. I know.
[\(00:23:16\)](#)

Jake: Yeah.
[\(00:23:16\)](#)

Jessica: I love it. And thank god you were in Founder Mode. Yeah. And you listened to your gut
[\(00:23:17\)](#)

Jake: Yeah.
[\(00:23:21\)](#)

Jessica: Over that weekend with Pablo.
[\(00:23:22\)](#)

Jake: Yeah. Yeah.
[\(00:23:24\)](#)

Jessica: That's amazing. Well done. I am so psyched to hear the story. This was so fascinating. So thanks for coming
[\(00:23:25\)](#)

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Jake: On our show today. Thank you,
[\(00:23:31\)](#)

Jessica: Jake. It's great. Bye, Jake. Bye.
[\(00:23:32\)](#)

Jake: Bye.
[\(00:23:34\)](#)